

# Auctions and the winner's curse



At an auction, Jane is the winning bidder for an antique clock and pays £50.00 for it. She wins because her bid is higher than all the other bids, but this means that in some sense she paid 'too much' for the clock – a phenomenon known as the winner's curse. If the second-highest bid was £49.00, then Jane would still have won the clock with a bid of £49.01 and so has ended up paying 99 pence more than she needed to.

The analysis of auction strategy has become an important part of economics. One important question concerns the best bidding strategy – might Jane have done better to slightly lower her bidding limit to reduce the probability of paying too much, or would she have risked losing the auction? Another question is how the seller of an item should design auctions to maximize revenue. This gained prominence in the 1990s, when governments sold off radio spectrum rights to mobile phone operators. Insights from auction theory were used to design auctions that maximized returns from the sales.